

and price drops below the pattern low. The rise from B to the resistance zone where price stalls measures 5%.

[Figure 59.4](#) shows the second example of a failure, this time with a downward breakout. Price does not decline far before rebounding and eventually making a new yearly high at 113 (not shown).

Why did this descending scallop fail? The only explanation I can offer is hard to justify. There is meager support announced by the February low and the gap in December 1998. Below that, a small pennant also provides support but it looks to be too far below to matter.